

1. Big Picture — How the Business Looks Right Now

Your business is showing strong profitability with excellent margins, but there are significant cash flow challenges. Sales fluctuated dramatically between February and April, dropping 40% in April after a 27% jump in March. While you're making good money on paper, cash isn't flowing smoothly through the business, creating operational pressure.

GREEN FLAG BOX — What's Working Well:

- Outstanding profit margins reaching 87% in April
- Excellent cost control with overheads below 2.5% of sales
- Strong return on equity above 850% consistently

RED FLAG BOX — What Needs Attention:

- Cash flow from operations turned negative in February
- Inventory holding period jumped to 245 days in April
- Sales dropped 40% in April after March peak

Overall Health Gauge: (Good profit but cash concerns)

Sales-Profit-Cash Trend: Feb (High Sales, High Profit, Negative Cash) → Mar (Peak Sales, Peak Profit, Improving Cash) → Apr (Low Sales, Good Profit, Mixed Cash)

CFO Advice: "You're making excellent profits but cash isn't flowing smoothly. Focus next 30 days on collecting receivables faster and reducing inventory levels, especially since sales dropped in April."

2. Profit Power — The Earning Engine

Your profit engine is incredibly strong with gross margins improving from 68% to nearly 90%. The main driver is excellent cost control - you're spending very little to make each sale. However, the dramatic sales drop in April suggests you may be losing customers or facing market changes that could threaten this profit machine.

Sales → Profit Waterfall: Sales (790M) → COGS (82M) → Gross Profit (708M) → Overheads (18M) → Net Profit (686M)

Monthly Profit Trend: Feb (675M) → Mar (984M) → Apr (686M)

CFO Advice: "Your profit margins are outstanding. Maintain this cost discipline while investigating why April sales dropped 40%. Consider whether this is a temporary dip or needs strategic response to protect your earning power."